

CAPITAL MARKETS

Greystone's \$137M Fund Shows Affordable Housing Capital Is Concentrating, Not Flowing

The second fund in 12 months reveals institutional LIHTC demand, but the real signal is who gets the equity and who does not.

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A source-grounded Light Tower Insight. The complete note follows.

Greystone Real Estate Capital closed its second affordable housing fund in less than 12 months, raising \$137 million from eight institutional LIHTC investors. The headline is a fundraising success. The market signal is narrower: affordable housing equity is concentrating around sponsors who can deliver scale, subsidy attachment, and repeat-investor trust.

The fund will support nearly 2,000 units across 20 properties in nine states. That is a meaningful deployment. But the more revealing number is the composition: 60 percent new construction, 40 percent rehabilitation, and 80 percent of portfolio properties carrying project-based rental subsidies. The capital is not flowing to the riskiest part of the affordable housing stack. It is flowing to the part where the income stream is already underwritten by a federal commitment.

Fund I closed in August 2025 with \$105 million. Fund II follows in July 2026 with \$137 million. Combined, Greystone has raised \$240 million in institutional equity for affordable housing in under a year. Three of the eight Fund II investors are repeat investors from Fund I. That repeat rate is the strongest signal in the story. It tells the market that the first fund delivered what it promised, and that the institutional LPs see this platform as a reliable channel for CRA-qualifying exposure.

The capital is not coming from a broad pool of yield-seeking allocators. It is coming from LIHTC investors, a specific subset of institutional capital that trades tax credits for a long-duration, low-volatility cash flow stream. These investors are not underwriting rent growth or market appreciation. They are underwriting subsidy continuity, sponsor execution, and regulatory compliance. That is a different risk calculus than market-rate multifamily equity.

The fund will finance individual equity investments ranging from \$3 million to \$29 million, with an average of \$11 million per property. Total development costs, including debt, are projected at nearly \$500 million across the 20 properties. That implies a leverage ratio of roughly 73 percent at the project level, which is typical for LIHTC structures but still leaves the equity tranche exposed to construction risk, cost overruns, and lease-up delays. The subsidy attachment reduces that risk but does not eliminate it.

The geographic footprint spans North Carolina, Louisiana, Illinois, Pennsylvania, Connecticut, Arkansas, Tennessee, New Jersey, and Ohio. These are not the highest-cost coastal markets. They are states where land, labor, and regulatory costs allow the LIHTC math to work at the 56 percent Area Median Income affordability level that Greystone targets. The fund is not trying to solve the affordable housing crisis in San Francisco or New York. It is solving it where the subsidy goes further.

The cast of parties reveals the incentive map. The institutional LIHTC investors need CRA-qualifying investments that generate predictable tax credits and modest cash yields. Greystone needs a repeatable fundraising mechanism that lets it control a pipeline of development and preservation deals. The developers on the ground need equity that understands the LIHTC timeline and does not demand market-rate returns. The residents need units they can afford. Each party gets something different from the same capital stack.

The constraint that changed is the availability of institutional equity for affordable housing. Fund I proved the model. Fund II proves the model can scale. But the market should test whether this concentration of capital around a single platform narrows the field for smaller, less established affordable housing developers. If the largest LIHTC investors are consolidating their relationships with a few proven fund managers, the smaller sponsors may find themselves competing for a shrinking pool of direct equity.

The fund is not a signal that affordable housing capital is abundant. It is a signal that capital is available for sponsors who can demonstrate subsidy attachment, geographic diversification, and a track record that survives the LIHTC compliance period. That is a high bar. The market should watch whether other fund managers can replicate Greystone's fundraising velocity, or whether this is a winner-take-most moment in affordable housing equity.

The next test is deployment. Raising \$137 million is one thing. Deploying it into 20 properties that perform through construction, lease-up, and the 15-year compliance period is another. The repeat investors will be watching. So will the ones who sat out Fund I and Fund II. Their next decision will tell the market whether this is a durable capital formation model or a moment of peak LIHTC

demand.

SOURCES

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